Reserve Bank’s Immediate Response

The Reserve Bank swung into a crisis-management mode with energy, intelligence and briskness. I was impressed by the rich expertise and mature understanding of the senior management of the Reserve Bank, which was clearly evident in the way they advised me on where pressures might erupt and what our priorities should be. Within hours of Lehman Brothers filing for bankruptcy, we had issued a press release, saying: ‘The Reserve Bank is keeping a close watch on the developments in the financial markets and is in touch with banks and other market participants to manage in an orderly manner any fall-out of these developments on the Indian financial markets.’ With characteristic alacrity, the Reserve Bank ring-fenced the operations of both the Lehman subsidiaries in India—Lehman Brothers Capital Pvt. Ltd, a non-banking financial company (NBFC), and Lehman Brothers Fixed Income Securities Pvt. Ltd, a primary dealer—restricting their operations and prohibiting them from making foreign remittances.

Around the world, fear and panic gripped financial markets; virtually every big-name institution was engulfed by rumours of imminent collapse. Trust had dried up, banks were hoarding liquidity, and trading came to a near-complete stop. We anticipated panic in our financial markets too, mainly because of the fear of the unknown. The standard first aid a central bank administers when markets are unnerved is to shore up liquidity. So was the case in India, as on that very day, we instituted a slew of measures to ease liquidity both in the money and forex markets.

The Contagion

Over the following days and weeks, the global financial markets remained on the boil, and markets at home reeled under the onslaught of the global tremors as the contagion spread through three channels—the finance channel, the real economy channel, and importantly, as happens in all financial crises, the confidence channel.